WHY GAMBLE



Going Bare: Not a Good Option

by Kyle Nieman

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Small accounting firms need professional liability insurance to protect their personal and business assets. Professional liability insurance is a critical component to managing risk and protecting your business. What many fail to realize is that claims against accountants extend beyond the business and can substantially impact personal assets.

A considerable number of small accounting firms continue to forgo buying professional liability insurance and going bare. Their reasons for opting out of buying insurance include a belief that since the firm primarily does tax work there is no risk and insurance is not necessary. Unfortunately this is not an accurate perception since tax engagements represent half of all claims that are brought against accountants. For instance, errors in judgment may cause claims for late and improper filings or tax advice you give to your clients may be taken out of context.

Another misconception is that insurance is too costly. While this may have been a legitimate issue during the liability crisis of the mid 80's, it is not the case today. Professional liability insurance premiums average below 1% of a small firm's annual revenues.

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Weighing the Options

Let's take a closer look at some key components of professional liability insurance and the benefits of helping you manage your risk. When a claim is made against an accountant, it can be in the form of a demand to correct a perceived error or an actual suit filed against the firm. When claims are made, legal expenses can add up quickly. Even a case that is ultimately determined to be frivolous may cost tens of thousands of dollars in legal expenses to get to the point where you are extricated from the matter.

One of the key components available in most professional liability policies is a feature called duty to defend. What this means is that once you give proper notice of a claim to your insurance company, they have a duty to step in and provide you with a defense. The company may appoint an attorney to represent you, and your policy will pay for the legal fees for this representation above your deductible. Another benefit is the company's access to attorneys that specialize in accountants' malpractice. Regardless of the validity of a claim or its final disposition, having experts ready to help you when a claim is made against you will save you time and money.

Prior Acts Coverage

Professional liability policies are written on a claims made and reported basis, meaning that coverage must be in place at the time a valid claim is made. Unlike occurrence policies that are triggered by the date of a loss (i.e., the day the building burned to the ground), professional liability policies are triggered by the date the claim is made against you and reported to your insurance company. A policy you have in force now could cover an allegation evolving out of a tax return you completed last year, or two to three years ago.

The fact that an annual policy potentially covers claims evolving from work done over the last several years, leads us to consider another important feature of a claims made policy, the prior acts date. The prior acts date, also known as the retroactive date, defines the date after which the work you do is eligible to be covered under your policy. The prior acts date is typically the date on which you first purchase a professional liability policy. This date has an impact on how your premium is calculated, usually for the first five to seven years.

Impact of Prior Acts coverage on Your Premium

When you first purchase a policy, your initial premium will be discounted. Let's look at an example. Two identical firms each generate $150,000 in revenues, doing tax and bookkeeping; each firm has 100 individual tax clients. Firm A has been buying insurance continuously for five years and pays $1,000 for a policy with a $250,000 limit. Firm A has five years of prior acts coverage. Assuming they kept the exact same clients over the five- year period, their policy potentially covers 500 returns done for their 100 clients.

Firm B has the same profile and decides to buy their first policy today. Their policy will have a prior acts date of today and will not include prior acts coverage. Unlike firm A, firm B does not have coverage for work performed prior to today and their policy will not cover the same exposure that is covered by firm A (i.e., the 500 tax returns completed over the five- year period). Firm B's premium, which will be discounted to reflect the lower exposure covered by their policy, is $420. As firm B annually renews their coverage, their premium discount for prior acts coverage reduces to the point five years out when their premium will also be $1,000.

In summary, as you build the prior acts coverage in your policy (through continuous renewals), expect your premium to adjust as indicated above, everything else being equal.

Reasons to Buy Professional Liability Insurance

1. Coverage protects you and your firm against litigation or charges of professional negligence
2. If you are sued, professional liability insurance will reimburse costly attorney fees and expenses and personally protect you from potential liability exposures
3. Policies can be tailored to meet the needs of your accounting firm, no matter what your size or expertise
4. Premiums are competitively priced: on average, small firms pay less than 1% of annual revenues
5. More than half of professional liability claims against accountants are from improper tax advice or filing errors

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